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Yale Program on Financial Stability

Lessons Learned

Subba Rao Duvvuri

By Salil Gupta

Subba Rao Duvvuri served as governor of the Reserve Bank of India (RBI) for five years (2008–13). Before that, he was finance secretary to the government of India (2007–08), and secretary to the prime minister’s Economic Advisory Council (2005–07). With a career spanning 35 years in the Indian Administrative Services, Duvvuri has held various positions at the state level in the government of Andhra Pradesh, and at the central government of India. Duvvuri was previously lead economist at the World Bank (1999–2004) and, after 2013, served as a visiting fellow at the National University of Singapore and the University of Pennsylvania. Recently, he has been a visiting faculty member at India’s Kautilya School of Public Policy and at Yale University. This Lessons Learned summary is based on an interview with Duvvuri held on November 29, 2023; the full transcript is available [here](#).

Central banks of emerging economies like India need to fashion their monetary actions to account for developments in their domestic economies and the spillover impacts of policy actions by the systemically important central banks of developed economies.

The collapse of Lehman Brothers in September 2008 engulfed global markets with uncertainty and threatened to devolve into a debilitating downward spiral. India and other emerging economies had to carry out both conventional and unconventional monetary actions to mitigate the adversity of this financial shock, and to ensure public confidence. Duvvuri stated:

For us in emerging markets, the crisis came as a double whammy. The policy actions of systemically important central banks such as the Federal Reserve [Fed], the European Central Bank [ECB], the Bank of England, and to some extent even the People’s Bank of China would have a spillover impact on our economies. In responding to the crisis, we therefore had to reckon with developments, not just in our domestic economy, but also to watch out for the spillover impacts of the actions of those systemically important central banks.

Duvvuri indicated that emerging economies like India were restricted by the zero lower bound for benchmark interest rates, unlike the United States, United Kingdom, and ECB, which had introduced quantitative easing after hitting that barrier. In late 2008, the RBI had to ease liquidity constraints to the mutual fund and nonbank financial company sectors to calm markets and restore financial stability. While launching liquidity facilities, the RBI was dealing with short-term concerns regarding moral hazard and longer-term concerns regarding restoring the resilience of the financial sector.

Central banks of emerging economies may have to rely on their own resources during scarcity in global dollar liquidity.

During the Global Financial Crisis (GFC), the Federal Reserve instituted dollar swap facilities with a number of countries that have convertible currencies (and it has maintained many of these arrangements). The RBI asked the Fed for a similar arrangement, but the Fed “declined to do so because the rupee is not a convertible currency,” explained Duvvuri. Central banks of emerging economies, like India’s, Duvvuri continued, have to rely on their own resources, even though “a dollar swap facility with the Fed would’ve been an enormous source of confidence, not only to the RBI, but also to the entire Indian financial system.” Given these limitations, he said, “since the Fed was not accommodative to us, we had to fall back on our own resources to solve the dollar liquidity crunch.”

During the GFC, the RBI was especially concerned with the drying up of dollar liquidity for branches and subsidiaries of Indian banks operating in foreign jurisdictions. Duvvuri noted that such dollar liquidity problems can be transmitted to the parent bank in the home economy, leading to potential financial stability issues. To address this problem, the RBI’s domestic facility allowed the parent entities of Indian banks to convert their borrowings from the repo window¹ into dollars, which could be provided to their foreign branches and subsidiaries.

Duvvuri also cited regional alliances like the South Asian Association for Regional Cooperation (SAARC) swap framework, which he spearheaded, as viable strategies designed to assist smaller, vulnerable nations. Under the framework, the RBI offered a swap arrangement to the South Asian nations in SAARC to provide both dollar and rupee liquidity during times of market stress. The design of the facility placed a ceiling of USD 2 billion on bilateral swap transactions. The RBI had assessed that the rupee liquidity provision would be protected by the relatively sizable trade between the nations. “If one of those countries came under pressure, India, as the large economy within the system, should be able to provide them bridge support until they can secure a longer-term arrangement from the [International Monetary Fund],” he noted.

Duvvuri reflected on his experience managing the exchange rate through what is known as the taper tantrum in 2013 (marked disruption caused by a signal from the Fed about the removal of monetary stimulus):

The biggest risk is that failure to arrest volatility in the exchange rate can dent credibility in a big way. If even the most powerful policy instrument available to the central bank has failed, the signal that goes to the markets is that the central bank has run out of weaponry to defend the exchange rate. Another risk with the use of

¹ The “repo window” at the Reserve Bank of India (RBI) is part of the Liquidity Adjustment Facility (LAF), a monetary policy tool that helps banks manage their day-to-day liquidity needs. Through the LAF, the RBI lends short-term funds to commercial banks against government securities. This is done at the repo rate, an interest rate set and charged by the RBI for these loans. By borrowing through the repo window, banks can ensure they have enough funds to meet their short-term obligations. The LAF also conducts reverse repos wherein it borrows funds on a short-term basis. These functions of the LAF are similar to those of the Federal Reserve open market operations.

monetary policy to defend the exchange rate is potential conflict with managing inflation.

Emerging economies faced a similar dilemma following the COVID-19 crisis, when central bankers were challenged with a conflict between keeping rates low to maintain financial stability and keeping rates high in the face of capital outflows.

Central banks of emerging economies must consider the balance of risks and their own capacities and limitations before replicating the strategies of central banks of developed economies.

Duvvuri pointed out that the central banks of emerging economies may face constraints that are different than those faced by central banks in developed nations. While looking to other banks' actions can be helpful, he cautioned that one must scrutinize the strategy before adoption:

As the saying goes: Think global, act local. The RBI believes in learning from other peer regulators, but it was also clear to us that we must not blindly copy what others were doing. Instead, we must make a judgment on whether it would be appropriate for us to follow those policies and actions, and in what way we must adapt them to suit our domestic circumstances.

Duvvuri shared an example: In 2008 the British Exchequer adopted blanket deposit insurance, which sparked calls for the RBI to do the same. After consideration, the RBI chose not to introduce blanket deposit insurance during the GFC because of the (1) lack of market credibility, (2) risk of expanded risk premiums, and (3) need for potential government support in the face of fiscal constraints. Duvvuri further explained:

More importantly, any action like that, instead of calming markets, would actually have spooked them. All the while, we had been reassuring markets that our financial system was stable, and that RBI was taking all action to keep it so. If in the face of that we did a wholesale expansion of deposit insurance, it would have run counter to our assurances. The markets then would suspect that we were hiding something from them, and that the real situation was worse than what we were outwardly projecting. That would have landed us in a much bigger problem.

During periods of unexpected stress or attacks, central banks should focus on restoring calm and normalcy and on quickly reopening the financial system.

Duvvuri stressed that the continuity of the payments system was crucial for the functioning of the financial system, and the RBI's main focus was to ensure public confidence after terrorist attacks in Mumbai in November 2008. The RBI was keen to signal that the attacks had not impaired the financial system, and that it was working to ensure that markets reopened very quickly. The special attention to the payments system was designed to restore calm and normalcy.

Toward keeping markets calm and preserving financial stability, we focused in particular on the payment system since that is the heart and soul of any financial system. As an analogy to note this: Oxygen is critical for us humans to live but we are hardly perceptive to its importance. We realize oxygen's importance only when we are deprived of it. So is the case with payment systems.

A moratorium can be a useful instrument to resolve distressed banks, with both positive and negative externalities in controlling a contagion.

Duvvuri noted that a moratorium helps gain time to design and launch a resolution plan for a failing bank. This strategy is similar to the practices of regulators in developed economies, who step in after markets close on a Friday evening and assess suitable buyers for the troubled institution over the weekend. A moratorium is a short fix, and at times can be a necessary imperative, but the drawbacks should also be carefully weighed.

Imposing a moratorium sends signals to the public about not only the failing institution, but also about the entire financial system. People are aware that financial institutions are interconnected. If one bank fails or comes under pressure, it is very likely that the contagion will spread to other banks. A moratorium might become necessary to control the problem and prevent a spillover. But it could cut the other way, too. The mere imposition of a moratorium on one bank might trigger fear about the health of the entire financial system and the contagion might in fact be hastened.

Central banks need to be diligent in keeping pace with innovations in the financial system.

Duvvuri described the responsibility of consumer safety as a continuous process for the regulators and said maintaining effective cybersecurity was an increasing risk in the cat-and-mouse game of financial regulation. He discussed the emerging gap in the expertise of existing regulators to effectively deal with the threat of cybersecurity in digitized economies. His recommendations include retraining existing regulators in technology skills and recruiting new technical experts to join regulatory institutions.

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